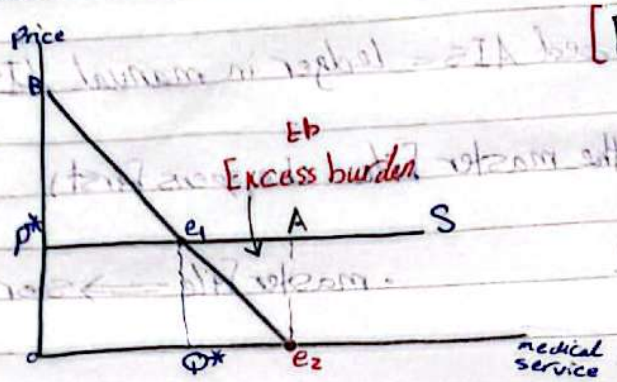
public 6

⇒ effect of medical service on effeciency :

[Full subsidy]



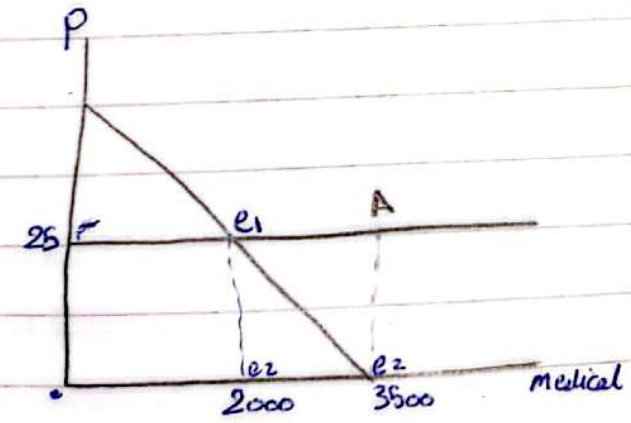
before

- $Q \longrightarrow Q^*$
- $P \longrightarrow P^*$
- $C.S \longrightarrow BeP$

after

- $Q \longrightarrow Q_1 \uparrow$
- $P \longrightarrow$ zero
- $C.S \longrightarrow Be_2O$
- Δ in $C.S \longrightarrow P^* e_1 e_2 O$
- total cost of sub $\longrightarrow P^*_o \times Q_1 = P^*_o e_2 A$
- $Eb \rightarrow e_1 A e_2$ = total cost − Δ in C.S

Free vaccination (P=0) . before: $\overline{m.c} = 25$, $Q = 2000$. after: $Q = 3500$



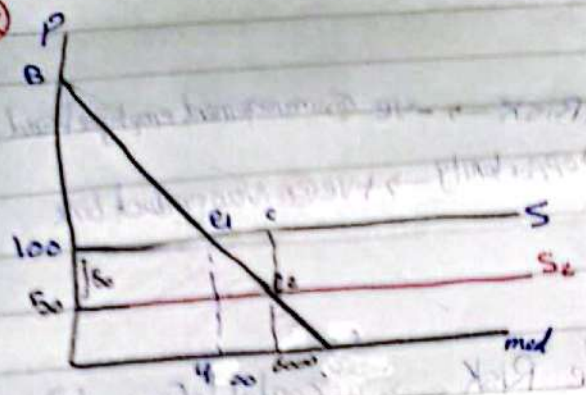
* Δ in $C.S = Pe_1 e_2 O = \frac{1}{2} \times [2000 + 3500] \times 25$
$= 68750$

* total cost of sub $= 25 \times 35000$
$= 875000$

* $Eb = Ae_1e_2 = 875000 - 68750 = 18750$

ex

[Pratial sub] 50%



* Δ in C.S = $\frac{1}{2} \times [4000 + 6000] \times 50 = 250000$

* total cost of sub = $50 \times 6000 = 300000$

* Eb = $300000 - 250000 = 50000$ e1 e2

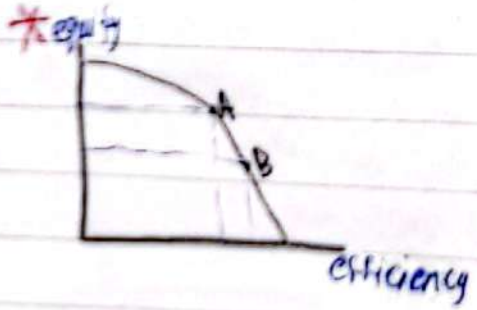
* effect of expenditure on economic stability:

example → def

$D < S$

$\uparrow AD = C + I + G \uparrow$

* effect of public expenditure on equity



صفحتين 58 , 59 ملخي